



TARGA

Targa Resources (TRGP)
24/02/2025

ECI Utilities



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Company Overview

Company Highlights

- **History:** Founded in 2003, Targa expanded through key acquisitions, including Dynegy's midstream assets (\$2.35B, 2005) and Atlas Pipeline Partners (\$7.7B, 2015). It went public in 2010.
- **Valuation:** Stock performance is driven by energy prices, production volumes, and infrastructure expansion. As of 2025, shares trade at \$198.47.
- **Strategy:** Focus on operational excellence, sustainability, and NGL infrastructure growth, particularly in the Permian Basin.
- **Corporate Finance Transactions:** Major deals include the 2015 Atlas acquisition and the Grand Prix NGL Pipeline project, enhancing transportation from the Permian Basin.
- **Ownership:** Major institutional holders include Vanguard Group Inc. (12.45%), BlackRock Inc. (9.49%), State Street Corporation (6.37%), Wellington Management Group (5.88%), Geode Capital Management (2.72%), and Blackstone Inc. (2.15%) as of December 31, 2024.

Industry Data	Average
<i>Overall</i>	

EV/EBITDA - 14	11
EV/Revenue - 3.53	2.392
P/E - 34.91	25.6

Revenue Mix	%	Gross (\$bn)
Gathering and Processing	32.67%	\$7.23
Logistics and Transportation	67.33%	\$13.66
Overlapping Revenue Adjusted in Consolidated Statements		

Key Metrics	Unit
Gross Margin	\$16.39Bn
ROIC	20.7%
Debt to Equity	323.44%
Cash	\$157.3 Mn
ROA	7.76%
Pretax Margin	\$1.93 Bn

[Source: Targa Resources Website](#)

Valuation & Share Performance

Key Valuation Statistics

Enterprise Value \$57.81 B **Revenue (FY23)** \$16.38B

Market Cap \$43.70 B **EBITDA (FY23)** \$4.13B

P/E 34.91 EBITDA Margin '23 25.22%

EV/EBITDA 14 Debt / EV 0.24

Cash \$157.3 M Total Debt \$14.29 B

Share Price Current: **\$200.36** High/Low: **\$161.24/ \$217.34**



[Source: Yahoo Finance](#)



Targa Business Model

Operating Segments

1. Gathering and Processing Segment

Core Activities: Gathering/purchasing/sale of natural gas, removing impurities, processing raw natural gas, extracting NGLs & gathering/terminaling/purchase/sale of crude oil.

2. Logistics and Transportation Segment (Downstream Business)

Core Activities: Converting mixed NGLs into NGL products, transporting, storing, fractionating, terminaling, and marketing NGLs and NGL products. Additional Services: Services to LPG exporters and natural gas supply/marketing activities supporting other business segments.

3. Other Segment

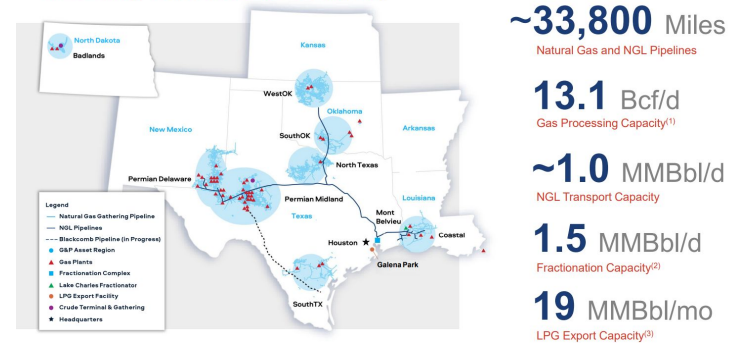
Contains unrealized mark-to-market gains/losses from derivative contracts not designated as cash flow hedges

Competitors



Key Figures as of Feb 2025

A Leading Infrastructure Company

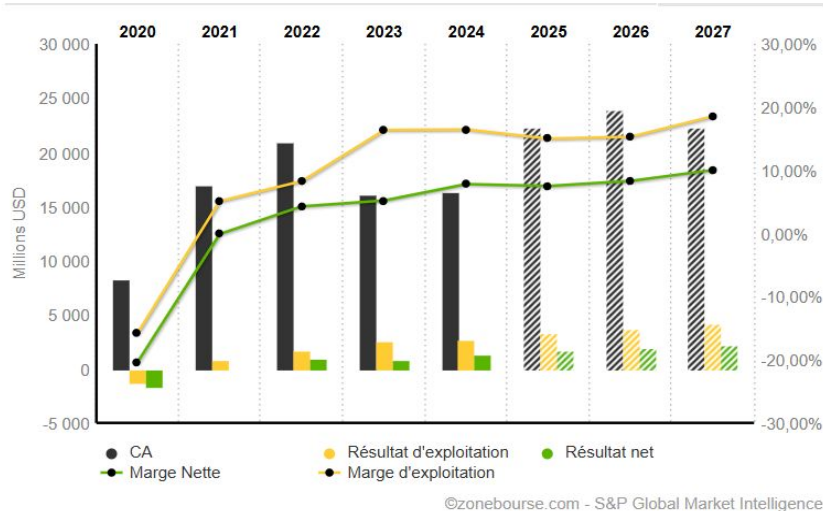


[Source: Targa Investor Presentation](#)



Operating Forecast

Revenue, EBITDA Forecast & Key Drivers



Sources: [Marketscreener](#)

Fiscal Period: December	2023	2024	2025	2026
Net sales ¹	16,060	16,382	22,303	23,927
Change	-23.27%	2%	36.15%	7.28%
EBITDA ¹	3,530	4,142	4,698	5,157
Change	21.68%	17.35%	13.42%	9.77%
EBIT ¹	2,626	2,695	3,305	3,666
Change	51.89%	2.63%	22.6%	10.93%
Interest Paid ¹	-687.8	-	-858.5	-851.5
Earnings before Tax (EBT) ¹	1,942	1,938	2,330	2,725
Change	16.79%	-0.23%	20.22%	16.95%
Net income ¹	835.8	1,279	1,673	1,988
Change	-6.8%	53.04%	30.81%	18.8%
Announcement Date	2/15/24	2/20/25	-	-

¹USD in Million

Estimates

Key Drivers

- Strong Q4 Performance: Targa reported a Q4 2024 net income of \$351 million, up from \$299.6 million in Q4 2023.
- EBITDA Growth: Adjusted EBITDA for Q4 2024 reached \$1.12 billion, reflecting solid financial performance.
- 2025 Projections: Full-year 2025 adjusted EBITDA is expected to range between \$4.65B - \$4.85B, a 15% increase over 2024.
- Dividend Increase: Targa plans a 33% dividend hike, raising it to \$4.00 per share in 2025.
- Rising Global Demand: Natural gas & NGL demand is projected to grow, particularly in Asian markets (IEA).
- Limited Supply Growth: Supply expansion remains modest, leading to tighter market conditions and stronger pricing.
- U.S. Price Forecast: The Henry Hub spot price is now expected to average \$3.80/MMBtu in 2025 due to increased consumption (EIA).



Shareholder Ownership Analysis

Ownership Analysis

Targa Resources' shareholder ownership is primarily dominated by institutional investors, with Vanguard holding 12.45%, BlackRock owning 9.49%, and Wellington Trust possessing 5.88%, while insiders own 22.01%, retail investors hold a minimal share, and the majority of shareholders (76.15%) are based in the U.S. with smaller portions in the U.K., Canada, and France.

Top Institutional Holders

Holder	Shares	Date Reported	% Out	Value
Vanguard Group Inc	27.16M	Dec 31, 2024	12.45%	5,390,565,902
Blackrock Inc.	20.7M	Dec 31, 2024	9.49%	4,107,662,959
State Street Corporation	13.89M	Dec 31, 2024	6.37%	2,756,018,344
Wellington Management Group, LLP	12.83M	Dec 31, 2024	5.88%	2,546,037,479
Geode Capital Management, LLC	5.93M	Dec 31, 2024	2.72%	1,177,020,983
Blackstone Inc	4.68M	Dec 31, 2024	2.15%	929,778,567
Invesco Ltd.	4.43M	Dec 31, 2024	2.03%	878,463,950
Tortoise Capital Advisors, LLC	4.38M	Dec 31, 2024	2.01%	868,811,163
Morgan Stanley	3.83M	Dec 31, 2024	1.75%	759,182,089
Neuberger Berman Group, LLC	2.96M	Dec 31, 2024	1.36%	588,265,083

[Sources: Yahoo Finance](#)



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Investment Thesis

Expansion in Midstream Infrastructure

Commitment to Energy Transition & Efficiency

Resilient Financials & Diversified Business Model

Our View

Significant investments in natural gas and natural gas liquids infrastructure expansion, including new fractionation and pipeline projects.

Copper and Lithium Ventures
Expansion of Grand Prix NGL Pipeline and additional fractionation capacity at Mont Belvieu.

Focus on reducing emissions through carbon capture initiatives and efficiency improvements in natural gas processing.

Increasing investment in renewable natural gas and sustainable midstream solutions.

Strong free cash flow supporting dividend growth and share repurchases.

Diversified revenue streams across natural gas gathering, processing, and NGL transportation.

The Implications

Positions Targa to capitalize on growing U.S domestic demand after tariffs applied to Canadian gas.
Increased processing and transport capabilities enhance revenue stability and scalability.

Stronger positioning as ESG factors increasingly influence investment decisions and regulatory policies.
Potential for long-term cost savings and premium pricing in eco-conscious markets.

Targa remains resilient in both high and low commodity price environments.
Reduced reliance on commodity price fluctuations, ensuring consistent performance and adaptability.



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Historical Share Price Analysis

Key Events & Share Price Drivers

6/5/2017 Open: 45.21 High: 45.695 Low: 45.10 Close: 45.13 Volume: 1,782,866



- 1) **Dec 7, 2010** – Targa Resources (TRGP) IPO at \$22/share, listing 16.375M shares on NYSE.
- 2) **Sep, 2014** – TRGP stock fell as NGL prices dropped and its \$7.7B Atlas acquisition raised debt concerns.
- 3) **Mar, 2016** – TRGP's stock rebounded after securing \$1 billion from investors, enhancing liquidity and reducing debt.

- 4) **Feb, 2020** – TRGP fell amid COVID-19 and the oil price war.
- 5) **Jan 2024** – TRGP surged on strong Q4 2023 earnings, a 50% dividend hike, and a \$40.6M share repurchase.
- 6) **Jan 21, 2025** – TRGP reached an all-time high closing price of \$217.22.



Valuation Summary

Stock Price Performance

TRGP trades at \$198.47, up 103.7% YoY, beating the S&P 500's 18.31% gain

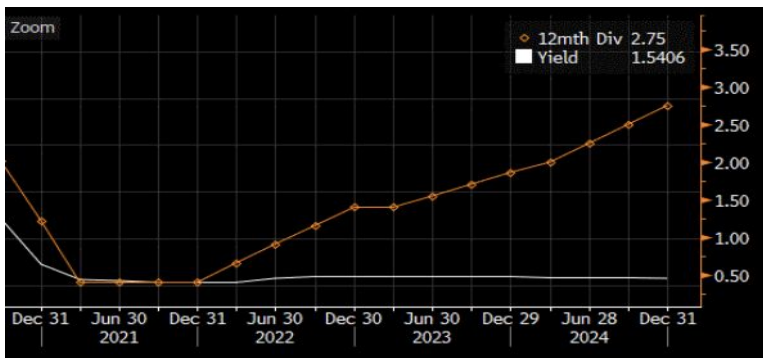
YoY, It outperforms peers:

KMI: +63.28%

WMB: +73.51%

Record Adjusted EBITDA Growth – TRGP's adjusted EBITDA rose by 17% YoY, driven by higher Permian volumes and increased NGL prices

Strategic investments: Targa's expansion in the Permian Basin, including the addition of new processing plants, has positioned the company to capitalize on increased production levels



Valuation Football Field

Stock's data



Broker Estimates	Target Prices (\$)	Upside (%)	Rating
Wells Fargo (21/02/2025)	\$227	+14.4%	Buy
Mizuho (20/02/2025)	\$226	+14.1%	Buy
Citi group (25/02/2025)	\$227	+14.4%	Buy
Goldman Sachs (24/02/2025)	\$222	+11.9%	Buy



Comparables Analysis

Comparable Company Rationale

The midstream energy sector plays a key role in transporting and processing **oil** and **gas**, benefiting from **stable cash flows** and **strong margins**. Larger players dominate with diversified operations, while smaller firms focus on niche markets. Investor confidence varies, with some companies trading at higher valuations due to growth prospects.

Ticker	kt Cap (US\$)	Currency Adjusted Enterprise Value	Net Sales T12M	BITDA T12M	Net Debt LF	P/E	EBIT T12M	EV/Sales	EV/EBITDA	EV/EBIT
	14150.78	24056.78	15100.00	2205.00	7606.00	16.75	1178	1.6	10.9	20.4
TRGP US	42513.37	58472.07	16381.40	4133.20	14132.9	30.56	2695.4	3.6	14.1	21.7
KNTK US	8955.28	12403.16	1446.08	520.67	3447.881	12.12	211.7	8.6	23.8	58.6
AM US	7605.05	10722.01	1106.19	799.17	3116.958	18.83	659.166	9.7	13.4	16.3
DTM US	9654.83	12438.83	976.00	701.00	2646	23.32	496	12.7	17.7	25.1
MPLX US	53854.41	73486.41	11933.00	6571.00	19429	12.56	5288	6.2	11.2	13.9
EPD US	72115.22	103890.22	56219.00	9272.00	30916	12.30	6930	1.8	11.2	15.0
ET US	64918.59	140331.59	82671.00	14303.00	60245	16.75	9138	1.7	9.8	15.4
GLP US	1977.52	3851.64	17386.44	407.41	1874.116	19.00	274.77	0.2	9.5	14.0
PAA US	14150.78	24056.78	50073.00	2205.00	7606	13.60	1178	0.5	10.9	20.4
DKL US	2234.71	4202.84	940.64	318.21	1898.131	14.51	217.327	4.5	13.2	19.3
KMI US	57993.23	91384.23	15100.00	6670.00	32055	22.31	4384	6.1	13.7	20.8
Mean	29176.98	46608.05	22444.40	4008.80	15414.42	17.72	2720.86	4.76	13.29	21.74
Median	14150.78	24056.78	15100.00	2205.00	7606.00	16.75	1178.00	4.47	13.21	20.42



ANR – Analyst Recommendations



12M Tgt Px => 218.8

Return potential 18.3

Out of 29 global
 recommendation comes out
 very well
 - > Tgt Px goes as high as 250



ANR – Analyst Recommendations

TRGP US Equity 90 Actions 97 Export 98 Settings											
39 ADJ Targa Resources Corp ASC 842 2 Periods 10 Annuals Cur FRC (USD) 4											
11 Key Stats 12 I/S 13 B/S 14 C/F 15 Ratios 16 Segments 17 Addl 18 ESG 19 Custom 10 Shared											
11 BBG Adjusted 12 BBG GAAP 13 As Reported 14 Reconciliation 15 SBC & Amort 16 Adj % 17 GAAP %											
In Thousands of USD except Per Share											
12 Months Ending	2018 Y	2019 Y~	2020 Y	2021 Y	2022 Y	2023 Y	2024 Y	Last 12M	2025 Y Est	2026 Y Est	
	12/31/2018	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024	12/31/2024	12/31/2025	12/31/2026	
Revenue	10,484,000...	8,671,100.0...	8,260,300.0...	16,949,800...	20,929,800...	16,060,300...	16,381,500...	16,381,400...	22,059,364...	23,811,000...	
+ Sales & Services Revenue	9,278,700.0...	7,393,800.0...	7,171,000.0...	15,602,500...	19,066,000...	13,962,100...	13,891,800...	13,926,600...			
+ Other Revenue	1,205,300.0...	1,277,300.0...	1,089,300.0...	1,347,300.0...	1,863,800.0...	2,098,200.0...	2,489,700.0...	2,454,800.0...			
- Cost of Revenue	9,054,100.0...	7,090,100.0...	5,970,200.0...	14,600,100...	17,978,100...	12,006,000...	12,126,000...	12,126,000...			
+ Cost of Goods & Services	8,238,200.0...	6,118,500.0...	5,105,100.0...	13,729,500...	16,882,100...	10,676,400...	10,703,000...	10,703,000...			
+ Depreciation & Amortization	815,900.000	971,600.000	865,100.000	870,600.000	1,096,000.0...	1,329,600.0...	1,423,000.0...	1,423,000.0...			
Gross Profit	1,429,900.0...	1,581,000.0...	2,290,100.0...	2,349,700.0...	2,951,700.0...	4,054,300.0...	4,255,500.0...	4,255,400.0...	5,710,948.7...	6,087,996.4...	
+ Other Operating Income	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000			
- Operating Expenses	907,300.000	1,073,800.0...	1,081,000.0...	1,064,300.0...	1,198,600.0...	1,419,600.0...	1,552,900.0...	1,552,800.0...			
+ Selling, General & Admin	256,900.000	280,700.000	254,600.000	273,200.000	309,700.000	348,700.000	384,900.000	384,900.000			
+ General & Administrative	256,900.000	280,700.000	254,600.000	273,200.000	309,700.000	348,700.000	384,900.000	384,900.000			
+ Research & Development	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000			
+ Other Operating Expense	650,400.000	793,100.000	826,400.000	791,100.000	888,900.000	1,070,900.0...	1,168,000.0...	1,167,900.0...			
Operating Income (Loss)	522,600.000	507,200.000	1,209,100.0...	1,285,400.0...	1,753,100.0...	2,634,700.0...	2,702,600.0...	2,702,600.0...	3,344,412.0...	3,739,250.0...	
- Non-Operating (Income) Loss	169,900.000	186,000.000	543,500.000	295,800.000	149,600.000	957,000.000	592,000.000	592,000.000			
+ Interest Expense, Net	185,600.000	337,800.000	391,300.000	387,900.000	446,100.000	687,800.000	767,200.000	767,200.000			
+ Foreign Exch (Gain) Loss	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000			
+ (Income) Loss from Affiliates	-7,300.000	-39,000.000	-72,600.000	23,900.000	-9,100.000	-9,000.000	-9,400.000	-9,400.000			
+ Other Non-Op (Income) Loss	-8,400.000	-112,800.000	224,800.000	-116,000.000	-287,400.000	278,200.000	-165,800.000	-165,800.000			
Pretax Income (Loss), Adjusted	352,700.000	321,200.000	665,600.000	989,600.000	1,603,500.0...	1,677,700.0...	2,110,600.0...	2,110,599.9...	2,446,722.0...	2,832,188.0...	
- Abnormal Losses (Gains)	286,800.000	367,900.000	2,238,700.0...	552,700.000	-59,700.000	-264,800.000	172,600.000	172,499.998			
+ Merger/Acquisition Expense	-8,800.000	8,700.000	-300.000	100.000	23,900.000						
+ Abnormal Derivatives	8,500.000	112,800.000	-228,200.000	116,000.000	302,500.000	-275,400.000	164,600.000	164,500.000			
+ Disposal of Assets	-100.000	71,100.000	58,400.000	2,000.000	-9,600.000	-5,300.000	-3,100.000	-3,100.000			
+ Early Extinguishment of Debt	2,000.000	1,400.000	-45,600.000	16,000.000	49,600.000	2,100.000	800.000				
+ Asset Write-Down		243,200.000	2,498,400.0...	462,600.000	9,800.000	6,900.000	6,200.000	6,200.000			
+ Impairment of Goodwill	210,000.000										
+ Gain/Loss on Sale/Acquisition ...		-69,300.000			-435,900.000						
+ Legal Settlement	75,200.000					6,900.000	4,100.000				
+ Other Abnormal Items			-44,000.000	-44,000.000							
Pretax Income (Loss), GAAP	65,900.000	-46,700.000	-1,573,100...	436,900.000	1,663,200.0...	1,942,500.0...	1,938,000.0...	1,938,099.9...	2,446,722.0...	2,832,188.0...	
- Income Tax Expense (Benefit)	5,500.000	-87,900.000	-248,100.000	14,800.000	131,800.000	363,200.000	384,500.000	384,500.000			
+ Current Income Tax		0.000	-15,400.000	2,700.000	6,700.000	13,600.000	17,500.000				
+ Deferred Income Tax	5,500.000	-87,900.000	-232,700.000	12,100.000	125,100.000	349,600.000	367,000.000				
+ Tax Allowance/Credit											
Income (Loss) from Cont Ops	60,400.000	41,200.000	-1,325,000...	422,100.000	1,531,400.0...	1,579,300.0...	1,553,500.0...	1,553,600.0...	1,776,889.0...	2,026,667.0...	
- Net Extraordinary Losses (Gains)	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000			
+ Discontinued Operations	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000			
+ XO & Accounting Changes	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000			
Income (Loss) Incl. MI	60,400.000	41,200.000	-1,325,000...	422,100.000	1,531,400.0...	1,579,300.0...	1,553,500.0...	1,553,600.0...			

Rev: 2025 -> ~22 B
2026 -> ~24 B

Profite: 2025 -> ~5.7 B
2026 -> ~ 6 B

Income: 2025 -> ~3.3 B
2026 -> ~3.7 B



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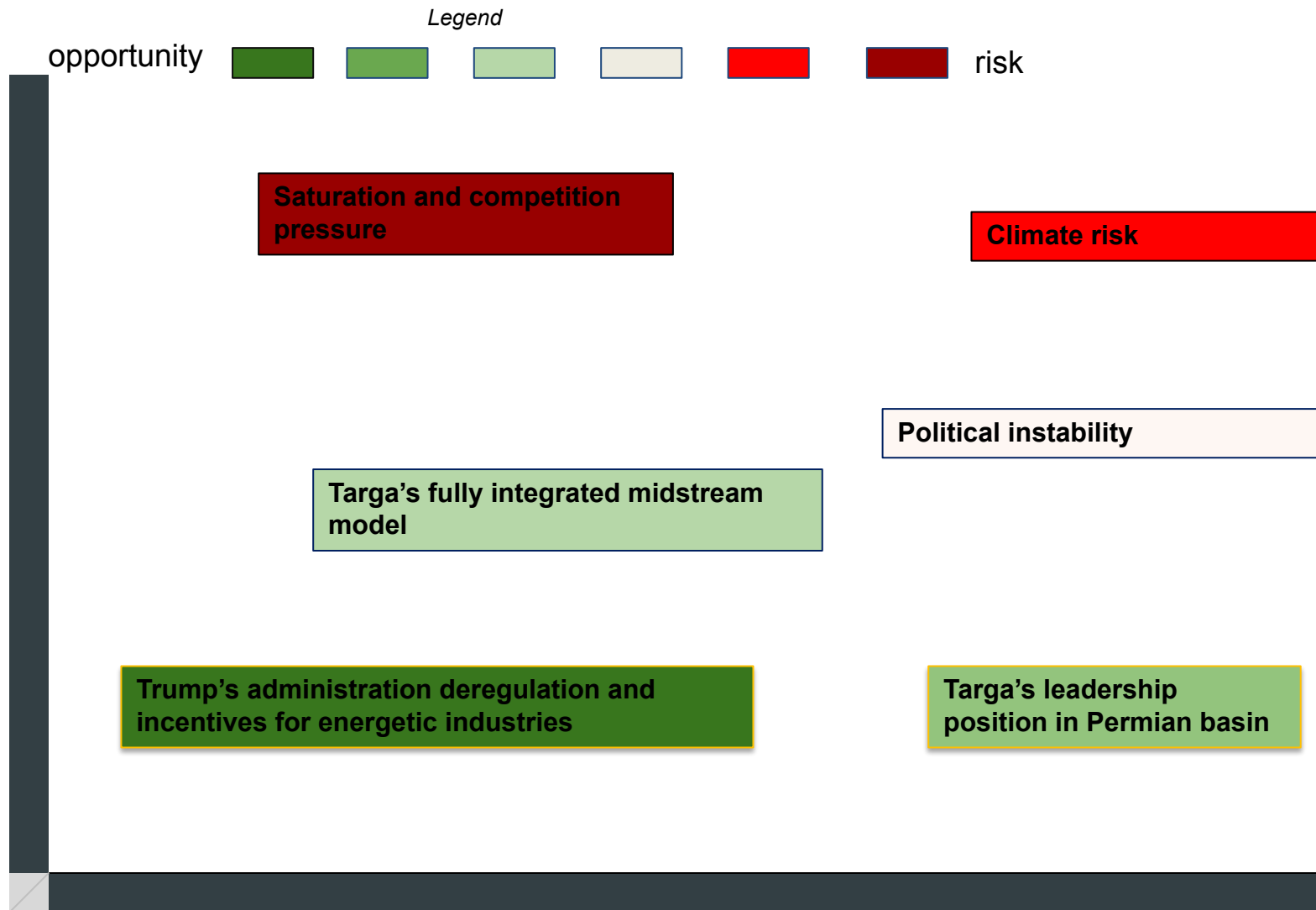
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Risk and opportunities





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Price Target & Recommendation

TRGP Analyst Ratings



Strong Buy



■ 12 Buy ■ 1 Hold ■ 0 Sell

Based on **13** analysts giving stock ratings to **Targa Resources** in the past **3 months**

Goldman Sachs	\$185 → \$223	BUY	13.03% Upside
Truist Financial	\$220	BUY	11.51% Upside
Raymond James	\$200 → \$230	BUY	16.57% Upside
UBS	\$246 → \$259	BUY	31.27% Upside
US Capital Advis...	\$207	HOLD	4.92% Upside

[Source: Tip Ranks](#)